



PHOTO BY MILIND SHELTE

CITI

- ▶ India debut: 1902
- ▶ Size of balance sheet: ₹2,16,890 crore

KEY FOCUS AREAS:

- ▶ Institutional business
- ▶ Investment banking
- ▶ MNCs, unicorns
- ▶ FPIs, trade flows

38 |

“We bank 30 per cent of MNCs operating in the country and around 40 per cent of unicorns in India. We have around 30 per cent market share of FPI flows and we manage 8 per cent of the country’s trade flows”

ASHU KHULLAR

CEO, CITI INDIA & REGION HEAD,
SOUTH ASIA

FROM INDIA, FOR INDIA

What advantage do foreign banks bring to the table? “We make clients feel comfortable whenever they enter India and offer them the same bouquet of services they receive in their home market, say the US or Europe,” says BofA’s Nakhate. This is important considering the fact that, as per government data, India attracted a record \$83.57 billion through foreign direct investment in FY22—a 20-fold rise compared to \$4.3 billion in FY04.

This corroborates the heightened interest that glob-

al companies have in India and foreign banks play a key role in this segment as the parent companies of MNCs are used to banking with some of the biggest global banks. Hence, it comes as no surprise that MNCs are a key focus area for foreign banks. “We service multinationals with global needs while operating in India, such as in cross-border cash management, trade finance and lending and managing currency, interest rate and commodity risks,” says Madhav Kalyan, CEO, JPMorgan Chase Bank India & Senior Country Officer.

Citi, which has been in India since 1902, has a renewed focus on institutional business, including servicing MNCs, as it looks to redeploy capital received by exiting the consumer business. “Thirty per cent of all multinational companies in India bank with Citi. Around 30 per cent of all FPI flows come through Citi. We are the most global, and probably the broadest and the deepest [foreign bank] in the institutional space which is where we have decided to double down after the sale of the consumer businesses in India,” says Ashu Khullar, CEO, Citi India & Region Head, South Asia.

Foreign banks have gained in prominence as the definition of global companies has changed over the years—as many Indian conglomerates look to expand globally. Take, for instance, Frankfurt-headquartered Deutsche Bank Group, that has been present in India since 1980. “India has performed absolutely beyond our expectations over the last couple of years. The services we provide within India are north of what we currently have on a group level,” says Kaushik Shaparia, CEO, Deutsche Bank Group, India. “Owing to the rising number of multinational corporations coming from this part of the world, cross-border banking services are required, whether it is from hedging or the financing standpoint, transaction banking will come into play. That is the bridge into Europe or intra-Asia or the Americas.” Deutsche Bank has infused about \$1 billion in capital in the last three years into its India unit.

Meanwhile, Zarin Daruwala, Cluster CEO, India and South Asia Markets (Bangladesh, Nepal and Sri Lanka), Standard Chartered Bank, echoes a similar view when she says that the London-headquartered global major is a “full-service bank” in India and its big balance sheet—both in India and across the globe—helps it service clients both within and outside the country. “That helps with the larger, big business houses; plus, the kind of global knowledge, contacts and global insights that we bring give us an advantage vis-a-vis a local bank,” says Daruwala. Standard Chartered is among a few foreign banks in India that have a strong presence in the retail segment and is eyeing a bigger role for itself in the space.